Allenhouse Business School
BBA • BCA
Rooma, Kanpur

ASSIGNMENT-2

Capital Budgeting Decisions

Payback Period, NPV, IRR and ARR Methods

Section A — Conceptual Questions (2 × 2 = 4 Marks)

Question	Marks
1. Define Capital Budgeting. Briefly explain why capital budgeting decisions are considered critical for a business.	**2**
2. Distinguish between the Payback Period method and the Average Rate of Return (ARR) method of capital budgeting.	**2**

Section B — Numerical / Application Questions (Total 6 Marks)

Question	Marks
3. A company is considering a project requiring an initial investment of ₹6,00,000. It is expected to generate equal annual cash inflows of ₹1,50,000 for 6 years. Calculate the Payback Period and state whether the project is acceptable if the company's standard payback period is 4 years.	**2**
4. A project requires an initial outlay of ₹10,00,000 and is expected to generate cash inflows of ₹3,00,000, ₹3,50,000, ₹4,00,000 and ₹2,50,000 over 4 years. Calculate the Net Present Value (NPV) at a discount rate of 12% and advise whether the project should be accepted (Present Value factors to be assumed/shown).	**2**
5. From the data given in Question 4, estimate the Internal Rate of Return (IRR) of the project by the trial-and-error method, taking two suitable discount rates for interpolation.	**1**
6. A machine costing ₹4,00,000 with an estimated scrap value of ₹40,000 is expected to generate an average annual profit after tax of ₹66,000 over its useful life. Calculate the Average Rate of Return (ARR) on average investment.	**1**